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Binary Dummy Regression — Tests

Practice Assignment • 10 min

Due Jul 22, 11:59 PM +07

Your grade: 100%

Your latest: **100%** • Your highest: **100%**

To pass you need at least 80%. We keep your highest score.

Next item →

1. Suppose we are forecasting *House Rent* using the regression equation: 1 / 1 point

House Rent = 2000 - 70*Distance_from_City + 200*Train

Where *Distance_from_city* is measured in kilometres, and *Train* is a binary dummy variable which can be true (if there is a train station nearby) or false (if there is no train station nearby).

(Note: No house is further than 25 kilometres from the city.)

What would let us know that the binary dummy variable is individually significant in explaining House Rent?

- The P-value of the F-test will be less than 0.05.
- The P-value of the coefficient of the Distance_from_City variable will be less than 0.05.
- The P-value of the coefficient of the Train variable will be less than 0.05.
- The P-value of the intercept will be less than 0.05.

✓ Nice work

Yes, this is correct.

2. Suppose we are forecasting *House Rent* using the regression equation: 1 / 1 point

House Rent = 2000 - 70*Distance_from_City + 200*Train